Chapter 7 Notes
Plant Assets, Natural Resources, and Intangibles

Learning Objectives:

1. Explain how to account for the cost of plant assets
2. Distinguish a capital expenditure from an immediate expense
3. Explain how to account for depreciation on plant assets
4. Analyze the effect of a plant asset disposal
5. Apply GAAP for natural resources and intangible assets
6. OMIT: Explain the effect of an asset impairment on the financial statements
7. OMIT: Analyze rate of return on assets
8. OMIT: Analyze the cash flow impact of long-lived asset transactions
9. OMIT: Calculate depreciation expense using Excel functions

Long-Term Asset Categories

- **Asset**: probable future economic benefit
- **Long-Term asset**: asset with useful life > 1 year from balance sheet date
  - NB = Dr
  - Real account on balance sheet that is not closed at end of period
- **Measurement Principle (Historical Cost (HC)):** explains the timing (when) and measurement (amount) of assets for firms.
  - Historical Cost is capitalized
    - **Capitalize**: to record an expenditure as an asset not an expense

      Cash or cash equivalent price at time of purchase
      <u>+ All expenditures to get asset ready for intended use</u>
      Historical Cost to be capitalized

- **Cost Allocation Concept**: as long-term assets are used up by the firm, the historical cost of the long-term asset is converted into an expense.
  - **Expense:** decrease in net assets from day to day operations
    - NB = Dr
    - Nominal account closed at end of period
  - **Decrease in Net Assets:** either Assets decrease or Liabilities increase
    - For Depr. Exp. a ↓ in Net Assets results from a ↑ in Acc. Depreciation

Long-Term Asset Category	Cost Allocation Concept	Purpose
<u>Tangible Assets</u> - Plant, Property & Equipment. (PP&E)	Depreciation	Spread out the HC of the asset over the asset's ***useful life***. Only depreciate PP&E with a ***limited*** useful life.
<u>Natural Resources</u> (Oil/Gas/Timber/Coal, etc.)	Depletion	Spread out the HC of the Natural Resource through depletion as it is physically consumed.
<u>Intangible Assets</u> – Patents, Copyrights, Trademarks, Franchises, Goodwill	Amortization	Spread out the HC of the Intangible over the asset's ***useful life.*** Only amortize those intangibles with a ***limited*** useful life.

Tangible Assets

- **Tangible assets:** assets acquired for use in firm not for resale
  - **Tangible:** possess a physical substance
  - **Long-term in nature**: useful life is > 1 year from balance sheet date
  - Subject to depreciation, except for land
    - Depreciation: the spreading of asset's original cost over the years of asset's useful life.
  - Other names:
    - **Property, Plant, and Equipment (PPE)**
    - **Fixed Assets**

Calculating Historical Cost (HC) of Tangible Assets

- **Measurement Principle** measures **Historical Cost** of assets as**:**

  Cash or cash equivalent price at time of purchase
  <u>+ All expenditures to get asset ready for intended use</u>
  Historical Cost of Asset

- Historical Cost is capitalized
  - **Capitalize**: to record an expenditure as an asset not an expense.

- **Land**
  - Has an unlimited useful life
    - **Do not depreciate land**
  - Historical Cost = all expenditures made to acquire the land and prepare it for use:

    purchase price
    + closing costs (such as title, attorney, and recording fees);
    + cost of grading, filling, draining, and clearing the property;
    + assumption of any encumbrances on the property;
    + costs of razing (i.e. removing old buildings)
    - amount received for salvage of old buildings, if for the purpose of constructing a new building
  - Permanent improvements should be included in the land account.
    - Landscaping, roads, drainage systems
    - Special Assessments: street lights, sewers

- **Land Improvements**
  - Record separately from land
    - Fencing, paving, security systems, signage, and lighting
  - Have a limited useful life
    - Must depreciate over useful life.
  - Historical Cost = all expenditures for improvements to the land that the firm must maintain

- **Equipment or Machinery**
  - Have a limited useful life
    - Must depreciate over useful life.
  - Historical Cost = all expenditures incurred to acquire and prepare it for use:

    purchase price
    + freight charges, insurance while in transit
    + assembly costs, installation costs
    + special preparation of facilities
    + employee training for initial machine operation
    + cost of conducting trial runs
    - purchase discounts

  - Do not include:
    - Repairs for damage during installation
    - Ordinary maintenance
    - Ordinary repairs

- **Building**
  - Have a limited useful life
    - Must depreciate over useful life.
  - Historical Cost = all expenditures incurred to acquire and prepare it for use:

    purchase price
    + closing costs
    + brokerage commissions
    + sales taxes or unpaid property taxes
    + attorney's and architect's fees
    + building permits
    + renovation costs prior to building being placed into service
    + contractor's costs
    + if constructing: all costs beginning with excavation of the site for foundations and ending with completion of the building

Activity #1 part 1

Lump-Sum (or Basket) Purchases of Assets

- **Lump-sum purchase:** firm pays one lump-sum price for the purchase of several types of fixed assets
  - Allocate lump-sum purchase price across each fixed asset acquired to determine historical cost
    - **Relative-sales-value method**: total lump-sum is divided among the assets according to their relative sales (or market) values.

Activity #2

Expenditures After Acquisition

- **Capitalize:** to record the expenditure as an asset not an expense.

- **Capital Expenditure:** expenditures that are expected to benefit future periods by: increasing productivity (quantity output), enhancing quality of products, or extending useful life of asset.
    - Examples of a Capital Expenditure for a Truck:
        - Major engine overhaul
        - Modification of body for new use of truck
        - Additional storage capacity of truck
    - **Accounting treatment:** capitalize the expenditure by adding expenditures cost to asset book value and depreciates over remaining useful life

- **Immediate Expenditure:** normal recurring expenditures designed to maintain an asset.
    - Examples of an Immediate Expenditure for a Truck:
        - Oil change
        - New wipers
        - New tires
        - Paint job
        - Repair of engine or brakes
    - **Accounting treatment:** expense the expenditure when incurred (immediately)

Activity #1 part 2

Cost Allocation Concept

- **Cost allocation:** the process of allocating the "cost" of limited life tangible or intangible assets to "expense" over their useful lives.
  - This is not a process of asset valuation.
  - Follows Matching Principle
    - Indirect Matching – depreciation is a systematic and rational allocation of cost to expense over the periods that benefit from their use (their useful lives).
  - Requires the use of estimates (which can change)
    - Estimated service life: limited by economic factors such as inadequacy and obsolescence
    - Estimated Salvage Value
  - Different terms but same idea:
    - **Depreciation**
      - Applies to tangible assets that have a limited useful life
      - Represents the decline in service potential due to physical and economic factors (wear and tear; obsolescence)
    - **Depletion**
      - Applies to wasting assets (i.e. Natural Resources)
    - **Amortization**
      - Applies to intangible assets that have a limited useful life

- Terminology:
  - **Salvage Value (aka Residual Value):** amount expected to be recovered at the end of the asset's life when it is sold or salvaged
  - **Depreciable base**: maximum amount of accumulated expense over life of asset
    - **Depreciable Base** = original historical cost – estimated salvage value
  - **Depreciation Expense:** amount of fixed asset that was used up in the current period
    - Operating Expense on Income Statement.
  - **Accumulated Depreciation (A.D.):** total amount of asset's historical cost that has been charged to depreciation expense over the asset's life.
    - Can be used to determine the asset's age.
    - Contra-Asset on balance sheet.
      - NB = Cr
      - Reduces the assets to (net) Book Value.
  - **Book Value (BV) of Fixed Assets:** amount of fixed asset historical cost which the firm expects to get a probable future economic benefit
    - Reported as long term asset on the balance sheet
    - **Book Value** = Fixed Asset's Historical Cost – Accumulated Depreciation

Recording Depreciation Expense

AJE	Depreciation Expense	xxx	
	Accumulated Depreciation - PPE		xxx

Reporting Fixed Assets and Accumulated Depreciation on Balance Sheet

- Classify on balance sheet as long term (> 1 year)
- **Book Value (BV):** amount of fixed asset historical cost which the firm expects to get a probable future economic benefit

Book Value (BV) = Fixed Asset's Historical Cost - Accumulated Depreciation

PPE (Historical Cost as of Dec. 31)	*$100,000*
Less: Accumulated Depreciation (as of Dec 31 after Adjustment)	*(6,000)*
Book Value (BV)	*$ 94,000*

OR

PPE (net of $6,000 AD) $94,000

Methods of Depreciation

- **Time-Based Methods** – describes useful life in years

- **Activity-Based Methods** – describes useful life as activity
  - **Activity**: units produced, hours of service, miles driven

- All methods will depreciate the same amount (depreciable base) over time. The only difference is how quickly the asset is depreciated.

- How does a firm choose the which method
  - In theory, firm should select the method that most closely approximates how the asset helps to generate revenues.

Time Based Methods

- **Straight-Line (SL) Method**
  - simple and widely used
  - assumes that the asset's economic usefulness is the same each year, and that repair and maintenance expenses are essentially the same each year
  - applies a constant rate of deprecation each year

    - **Straight-Line Rate = 1 / useful life in years**

    - **SL Depr. Exp./year = $\frac{\text{Historical Cost – Estimated Salvage}}{\text{Estimated Useful Life in years}}$**

    - **SL Depr. Exp./year = SL Rate * Depreciable Base**

Activity #3

Time Based Methods (continued)

- **Accelerated Method**
  - Justified on the grounds that since the asset is more efficient in the earlier years, more depreciation should be charged to those years.
    - Depreciation expense decreases each year

  - A constant rate is applied to remaining book value, which declines each year
    - Salvage value is ignored in formula, but the asset is not depreciated below salvage value.
    - The maximum amount of AD = depreciable base

  - **Double-declining Balance (DDB) Method:** applies a rate that is double that of straight line to the remaining book value of the asset

    - **DDB Rate = 2 / useful life**

    - **DDB Depr. Exp/year = 2 / useful life * [HC – Accum. Depr.]**

    - **DDB Depr. Exp/year = DDB Rate * Book Value**

Activity #4

Activity Based Method

- **Units-of-Production Method:** assume that depreciation is a function of productivity rather than passage of time
  - Appropriate in situations where depreciation is a function activity

  - **Useful life of asset described as:** Hours of service, Units produced, Miles driven, etc.

  - If you have a partial year, do not multiply by time because usage is a function of activity not time!

  - **Depreciation Rate =** $\frac{\textbf{(Historical Cost – Estimated Salvage)}}{\textbf{Useful Life based on activity}}$

  - **Depr. Exp = Deprecation Rate per activity * Current year activity**

Activity #5

How to determine a gain or loss on the sale of long term assets:

- Must compare two numbers on the date of the sale of the long term asset.
    1. **Cash Proceeds from sale** = Sales price at sale – selling costs

    2. **Book value of asset** = HC – AD up to date of sale

- GAIN on sale of asset
    - Cash Proceeds from Sale > Book Value of Asset
    - NB = Cr

- LOSS on sale of asset
    - Cash Proceeds from Sale < Book Value of Asset
    - NB = Dr

- No gain or loss
    - Cash Proceeds from Sale = Book Value of Asset

Example: On May 6, Aubie Inc. (a manufacturer of plastic football shakers) sold a piece of equipment for $10,500 but had to pay $500 in selling costs. The equipment had a historical cost of $25,000 and accumulated depreciation of $6,000 is up to date. Determine the gain or loss that Aubie will record on the sale.

Write the journal entry associated with the sale. Good journal entry format is required.

Disposal of Plant Assets

- **Disposing of a fully depreciated asset for no proceeds**
  - In this case, salvage value =0; therefore depreciable base = HC
  - Remove asset's historical cost
  - Remove asset's accumulated depreciation
  - No gain or loss on disposal
    - No effect on total assets, liabilities, or equity

Date	*Accumulated Depr-Asset*	*X*	
	Fixed Asset		*X*

- **Disposing of a not fully depreciated asset for no proceeds**
  - Update the depreciation up to the date of disposition
  - Remove:
    - asset's historical cost
    - asset's accumulated depreciation
  - Incur a loss on disposal = asset's net book value
    - Decreases both total assets and equity

Date	*Accumulated Depr-Asset*	*X*	
	Loss on Disposal of Fixed Asset	*X*	
	Fixed Asset		*X*

- **Selling plant asset**
  - Update the depreciation up to the date of disposition
  - Record:
    - Cash proceeds
  - Remove:
    - asset's historical cost
    - asset's accumulated depreciation
  - Determine Gain or Loss on disposal
    - Gain increases both total assets and equity
    - Loss decreases both total assets and equity

Date	*Cash*	*X*	
	Accumulated Depr-Asset	*X*	
	Loss on Sale of Asset	*X*	
	Gain on Sale of Asset		*X*
	Fixed Asset		*X*

Activity #6

Natural Resources

- **Natural Resources**: resources found in nature that are physically consumed as they are used up
  - Examples: Oil & Gas, Timber, and Mineral Deposits
  - **Long-term in nature**: useful life is > 1 year from balance sheet date
  - Subject to Depletion
    - **Depletion**: the spreading of natural resource's original cost to inventory as they are physically used up.
    - As natural resource is depleted,
      - Cost becomes Inventory (until sold) on the Balance Sheet and Accumulated Depletion on Balance Sheet.
    - Once inventory is sold
      - Reported as COGS on Income Statement

Calculating Depletion: (Units of Production Method)

Step 1: Determine cost/unit

$$\$\text{cost/unit} = \frac{\$\text{Total Cost} - \$\text{Residual Value}}{\text{Est. \# Units}}$$

Step 2: **Determine Depletion for Current Period**

Depletion for period = Cost/Unit * # units extracted in current period

Recording Depletion

AJE	Inventory	xxx	
	Accumulated Depletion		xxx

Natural Resource	
HC	

Ac. Depletion	
	Y1
	Y2
	Y3

Inventory	
Y1	
	COGS 1
End	
Y2	COGS 2
End	

COGS	
COGS 1	

Activity #7

Research & Development (R&D)

- **Research**: To discover new knowledge for significantly improved product/process
- **Development**: translation of knowledge into new Design/product/process
- R&D costs are expensed as incurred
  - follows asset measurement principle and matching principle

Intangible Assets

- **Intangible assets:** assets acquired for use in firm not for resale
  - **Intangible:** do not possess a physical form
  - **Long-term in nature**: useful life is > 1 year
  - Subject to Amortization, except for indefinite life intangibles
    - **Amortization**: the spreading of asset's original cost over the years of asset's useful life.

Calculating Historical Cost (HC) of Intangible Assets

- **Measurement Principle** measures **Historical Cost** of assets as**:**

  Cash or cash equivalent price at time of purchase
  <u>+ All expenditures to get asset ready for intended use</u>
  Historical Cost of Asset

- Historical Cost is capitalized
  - **Capitalize**: to record an expenditure as an asset not an expense.

- Costs to capitalize:
  - <u>If purchased</u> – capitalize all costs at Fair Value of everything given up
    - purchase price, legal fees, and incidental expenses

  - <u>If internally created</u> –capitalize only direct costs incurred to establish the legal rights associated with it.
    - Legal fees, registration fees, design costs, etc…but ***never*** R&D.

Amortization of Intangible Assets

- Indefinite life (Goodwill, trade names)
  - Do not amortize.
  - Review annually for impairment.
    - **Impairment**: loss in value
- Finite life:
  - Amortize over shorter of legal or useful lives
    - Amortization Method should match the pattern of use.
    - If no pattern, use **Straight line** method, usually no salvage (unless you can reasonably measure fair value at the end of the life.)

Recording Amortization Expense

AJE	Amortization Expense	xxx	
	Intangible's Name		xxx

Types of Finite Life Intangibles

- **Amortized based on shorter of legal or useful life**

- **Patents:** federal government grants that give the holder the exclusive right for 20 years to produce and sell an invention (product or process).
  - Finite life: amortize

- **Copyrights:** exclusive rights to reproduce and sell works of art (book, music, film software program)
  - Copyrights extend 70 years beyond author's life.

- **Trademarks or trade names:** distinctive identifications of products or services
  - If finite life: amortize

Activity #8

Types of Infinite Life Intangibles

- **Do not amortize; instead, check annually for impairment**

- **Trademarks or trade names:** distinctive identifications of products or services
  - If indefinite life: check annually for impairment

- **Franchises and licenses:** privileges granted by a private business or government to sell a product or service in accordance with specified conditions.
  - Indefinite life: check annually for impairment

- **Goodwill:** is the abnormal earning power of a firm due to having good brands, good customer services and employee relations, or superior products and technology
  - ***Internally generated*** goodwill is ***expensed*** when incurred.
  - Indefinite life: check for impairment
  - Goodwill can only recorded when business is ***purchased***
    - Goodwill can only be identified with business as a whole
    - Valuation of Goodwill is based on Going Concern Concept (value of Goodwill cannot be separated from the business as a whole.)
    - Goodwill does not amortize, because in many situations the value of goodwill increases overtime.
    - How to calculate goodwill in firm acquisition

Purchase Price > Fair Value of Net Assets [FV Assets - FV Liabilities]
|_____|
= Goodwill

Activity #9

ACCT 2300 - Chapter 7 - Learning Objectives and Activities

LO#	LEARNING OBJECTIVE	IN CLASS ACTIVITIES	PROBLEMS	ESTIMATED TIME	POINTS
1.	Explain how to account for the cost of plant assets	1 & 2	1, 2, 3, 6		
2.	Distinguish a capital expenditure from an immediate expense	1	2		
3.	Explain how to account for depreciation on plant assets	3, 4, 5	3, 4, 5		
4.	Analyze the effect of a plant asset disposal	6	6, 7		
5.	Apply GAAP for natural resources and intangible assets	7, 8, 9	8, 9 , 10		
6.	OMIT: Explain the effect of an asset impairment on the financial statements				
7.	OMIT: Analyze rate of return on assets				
8.	OMIT: Analyze the cash flow impact of long-lived asset transactions				

<u>Activity #1</u> – *Determine historical cost of tangible assets*

1. On March 1, Roy Co. acquired real estate, on which it planned to construct a small office building, by paying $100,000 in cash. An old warehouse on the property was razed at a cost of $6,600; the salvaged materials were sold for $1,700. Additional expenditures before construction began included $1,100 attorney's fee for work concerning the land purchase, $4,000 real estate broker's fee, $7,800 architect's fee, $14,000 to put in driveways and a parking lot, and $5,200 to install fencing. Determine the amount to be reported as the cost of the land and land improvements.

2. Ruby Company purchased a piece of equipment with a list price of $60,000 on November 1. The equipment is expected to last 10 years. The following amounts were related to the equipment purchase:
   - Terms of the purchase were 2/10, net 30. Ruby paid for the purchase on Nov. 8.
   - Freight costs of $1,000 were incurred.
   - A state agency required that a pollution-control device be installed on the equipment at a cost of $2,500.
   - Ruby had to widen a door to get the equipment installed in the building. The door widening cost $700.
   - During installation, the equipment was damaged and repair costs of $4,000 were incurred.
   - $300 of lubrication was applied to the gears of the machine prior to trial runs.
   - Ruby anticipates that yearly maintenance (including lubrication and adjustments to gear) to keep the machine running will be $500 per year.
   - Ruby purchased liability insurance to cover possible damage to the asset. The three-year policy cost $2,000.
   - Ruby trained employees to use the machine at a cost of $6,000.

   Determine the acquisition cost of the equipment.

<u>Activity #2</u> – *Lump-Sum Purchase of Assets*

1. On October 29th, Aubie acquired a printer and office chairs for $1,000. The printer has a selling price of $700 and the office chairs have a selling price of $800. Determine the historical costs for each of the fixed assets acquired by Aubie, then provide Aubie's journal entry to record this purchase. Good journal entry format is required.

2. On November 13th, Trovita buys land, building and equipment for $450,000. Appraisals showed:

Asset	**FMV**
Land	$100,000
Building	350,000
Equipment	50,000

Determine the historical costs for each of the fixed assets acquired by Trovita, then provide Trovita's journal entry to record this purchase. Good journal entry format is required.

<u>Activity #3</u> – *Straight line depreciation*

On April 1, Sparky purchased a truck for $20,000. Sparky estimated salvage at $5,000 and a 5 year useful life. Sparky has a Dec 31 year-end.

1. Determine Sparky's Straight Line Rate for the truck.

2. Determine Sparky's Depreciable Base for the truck.

3. What does the truck's Depreciable Base mean?

4. Determine Sparky's Straight Line Depreciation Expense per year for the truck.

5. Determine Sparky's Depreciation Expense for the truck for each year:

6. Why does depreciation expense continue into the 6th year if the useful life is only 5 years?

7. Provide Sparky's Depreciation Expense AJE for the truck for year 6.

8. Then fill in the T-accounts associated with the truck.

9. What is the book value of the truck that Sparky would report on the balance sheet at the end of year 3?

<u>Activity #4</u> – *Double declining balance depreciation*

On April 1, Sparky purchased a truck for $20,000. Sparky estimated salvage at $5,000 and a 5 year useful life. Sparky has a Dec 31 year-end.

1. Determine Sparky's Double Declining Balance Rate for the truck.

2. Determine Sparky's Depreciable Base for the truck.

3. What does the truck's Depreciable Base mean?

4. Write out the formula for DDB Depreciation Expense.

5. Determine Sparky's Depreciation Expense for the truck for each year and fill in T-accounts after each year in #6.

6. Fill in the T-accounts associated with the truck.

7. Provide Sparky's Depreciation Expense AJE for the truck for year 4.

8. What is the book value of the truck that Sparky would report on the balance sheet at the end of year 3?

9. Why does depreciation expense stop in the 4th year if the useful life is 5 years?

<u>Activity #5</u> – *Units-of-Production Method of Depreciation*

Sparky purchased machinery on October 1, 2021 at a cost of $200,000 and salvage value is $15,000. Service hours expected are 50,000 hours. During 2021, the machine was used for 2,650 hours, and in 2022 it was used for 14,400 hours.

1. Determine Sparky's Depreciable Base for the machine.

2. What does the machine's Depreciable Base mean?

3. Determine Sparky's Depreciation Rate per hour for the machine.

4. Determine Sparky's Depreciation Expense for the machine for each year:

5. Does Sparky need to multiply the 2021 depreciation amount by the partial year?

6. Provide Sparky's Depreciation Expense AJE for the machine for 2022.

7. Then fill in the T-accounts associated with the machine.

8. What is the book value of the truck that Sparky would report on the balance sheet at the end of 2022?

<u>Activity #6</u> – *Disposal of Long Term Assets*

For each scenario presented below, determine Beck's Depreciation Expense per year, determine gain or loss on the sale, and provide journal entries. Beck uses straight-line depreciation and Beck's year-end is December 31.

Jun 30, 2022, Beck sold a computer that was purchased on Jan. 1, 2020. The computer cost $35,000, had a useful life of 7 years, no salvage. The computer was sold for $28,000.

October 1, 2022, Beck received insurance proceeds of $4,000 for a delivery truck that was totaled in an accident. The truck was purchased on Jan. 1, 2016 at a cost of $27,000 and depreciated over an 8-year useful life with a $3,000 salvage value.

<u>Activity #7</u> – *Natural Resource*

Kelly Company acquired an iron mine for $2,349,000. Kelly paid a $1,000 filing fee with the county recorder, $50,000 license fee to the state, and $100,000 for a geologic survey. It was estimated that the land would have a value of $400,000 after completion of the mining operations, and that 1,000,000 tons of iron ore could be extracted from the mine. During the first year of operations, 100,000 tons of iron ore were extracted and 80,000 tons of iron ore were sold for $5 per ton.

Prepare the journal entry to record the acquisition of the natural resource.

Determine cost/unit

Determine Depletion for Current Period

Prepare the journal entry to record the current period depletion of the natural resource.

Prepare the journal entries to record the sale of the iron, using the perpetual method.

Use T-accounts to track depletion of Natural Resource into COGS

What would Kelly's Dec. 31 Income Statement and Balance Sheet Disclosures report?

<u>Activity #8</u> – *Patent*

From January 1 through June, Roberts Corp. developed a new product, incurring $140,000 in research and development costs. A patent was granted for the product on July 1, at which time Roberts incurred $5,000 legal fees in filing for the patent. The patent has a useful life of 10 years and a legal life of 20 years. Roberts' has a December 31 year end.

Prepare the journal entry to record the research and development.

Prepare the journal entry to record the patent.

Does Roberts use the useful life or legal life to calculate the amortization expense? Why?

Calculate the amortization expense per year.

Prepare the journal entry to record the amortization of the patent for the current year.

Use the Patent T-account to determine the Patent's Book Value as of December 31

<u>Activity #9</u> – *Goodwill*

On October 1, Eastman acquired 100% ownership of Company X paying $310,000 to acquire it. At the time, X had the following balance sheet:

Current Assets	$120,000	Current Liabilities	$ 50,000
Land	$ 80,000	Non-current Liabilities	$150,000
Building	$200,000	Owner's Equity	$200,000

At the time of the purchase, the book value of X's assets and liabilities which are presented above were the <u>same</u> as their fair value, *except* for the building which had a fair value of $250,000. Calculate the amount of Goodwill Eastman will record from this acquisition.

Provide Eastman's journal entry to record the purchase of Company X.